CORPORATE REPORTING

Suggested Answers
Nov-Dec 2022

Answer to the Question# 1(a):

The statement of financial position does not include the subsidiary disposed of, as it is no longer controlled at the reporting date. As Comet Limited has been divested as of the reporting date. it will not be included while consolidating the financial statements. However, Comet was under Orbit's control throughout the year. Hence its profit or loss will be consolidated and profit from Comet will be shown as profit from discontinued operations. Any gain/loss from disposal will also be reported in profit or loss statements.

For Consolidation, only Orbit and Galaxy will be considered. Consolidated financial statements and its workings is given below:

Orbit Group Holding Limited
Consolidated Financial Statements for the year ended 31 March 2022

	Orbit	**Galaxy**	**Adjustment**	**Consolidated**
Assets				
Non-Current Assets				
Property, Plant & Equipment (W1)	7,928,400	7,623,600	240,000	15,792,000
Intangibles	1,215,600	864,000	-	2,079,600
Goodwill (W3)	-	-	79,462	79,462
Investments	4,200,000	-	(4,200,000)	-
	13,344,000	**8,487,600**	**(3,880,538)**	**17,951,062**
Inventories (W7)	2,824,800	2,766,000	(28,800)	5,562,000
Trade & Other Receivables	2,098,800	945,600	-	3,044,400
Advance, Deposits & Prepayments	1,143,600	752,400	-	1,896,000
Cash & Cash Equivalents (W9)	884,400	142,800	2,800,000	3,827,200
	6,951,600	**4,606,800**	**2,771,200**	**14,329,600**
Total Assets	**20,295,600**	**13,094,400**	**(1,109,338)**	**32,280,662**
Equity and liabilities				
Equity				
Share capital (W1)	1,200,000	6,000,000	(6,000,000)	1,200,000
Revaluation surplus	1,500,000	-	-	1,500,000
Retained earnings (W6)	13,092,000	3,745,200	(1,607,858)	15,229,342
Non-Controlling interest (W5)	-	-	998,520	998,520
	15,792,000	**9,745,200**	**(6,609,338)**	**18,927,862**
Current liabilities				
Trade & other payables	2,414,400	1,221,600	-	3,636,000
Provision for expenses	1,069,200	1,167,600	-	2,236,800
taxation	1,020,000	960,000	-	1,980,000
Consideration Payable (W4)	-	-	5,500,000	5,500,000
	4,503,600	**3,349,200**	**5,500,000**	**13,352,800**
Total equity & liabilities	**20,295,600**	**13,094,400**	**(1,109,338)**	**32,280,662**

Workings 1: Net Asset of Galaxy Limited

Particulars	Year End	Acquisition	Post-Acquisition
Share Capital	6,000,000	6,000,000	-
Retained Earnings			
As provided	3,745,200	2,500,000	1,245,200
Fair value adj for PPE 1,440,000 - (1,104,000*48/46)	288,000	288,000	-
Dep on Fair Value Adjustment (288000*2/48)	(12,000)	-	(12,000)
PPE PURP (Working 2)	(36,000)	-	(36,000)
	9,985,200	**8,788,000**	**1,197,200**

Adjusted PPE:

BDT	288,000
	48,000
	240,000

Workings 2: PPE (PURP)- Galaxy Ltd.

Galaxy purchased the asset on 1 April 2018 which had useful life of 5 years. When Galaxy sold the asset to Orbit 2 years ago, useful life remaining was 3 years. Hence it would depreciate in remaining useful life of 3 years of which 1 year is remaining.

Asset value at Orbit's book (180,000*1/3)	= 60,000
Asset value that would be in Galaxy's book (120,000*1/5)	= 24,000
Accumulated access depreciation charged in Orbit FS	= 36,000

Workings 3: Calculation of Goodwill from Galaxy Ltd Acquisition

Consideration transferred (3,000,000 + Working 4) = 3,000,000+4,988,662	= 7,988,662
Add: Non-controlling interest acquired (W1 x 10%) = 8,788,000 x 10%	= 878,800
Total consideration including non-controlling interest	**= 8,867,462**
Less: Net Asset Acquired (W1 x 90%) = 8,788,000	=(8,788,000)
Goodwill	**= 79,462**

Workings 4: Variable Consideration for Galaxy Ltd Acquisition

Variable consideration payable on 31 March 2022 is 5,500,000. Present value of the variable consideration as of acquisition date was (5,500,000/1.05^2) = 4,988,662. Rest 511,338 is finance expense for 2 years)

Workings 5: Balance of non-controlling interest

Non-controlling interest at the date of acquisition (W1 x 10%) = 8,788,000 x 10%	= 878,800
Add: Share of post-acquisition reserve = 1,197,200 x 10%	= 119,720
Total non-controlling interest	**= 998,520**

Workings 6: Retained Earnings

Orbit's own retained Earnings	= 13,092,000
Less: PURP for Inventories (W7) (28,800)	= (28,800)
Less: Finance cost from deferred consideration (W4)	= (511,338)
Add: Share of post-acquisition reserve from Galaxy (W1x90%)	= 1,077,480
Add: Share of post-acquisition reserve from Comet (W8)	= 144,000
Add: Gain from disposal of investment in Comet (W9)	= 1,456,000
Total retained earnings of Orbit at the year end	**= 15,229,342**

Workings 7: Inventory PURP- Galaxy Ltd. & Comet Limited

Orbit Limited sold goods to Galaxy and Comet at 20% margin. These remains unsold at the year end. Unrealized profit needs to be adjusted at the year end. Although, Comet has been divested at the year end and no longer a group entity, Orbit have to consolidate the profit or loss of Comet at the year end as it was within group control throughout the entire year. However, as Comet is no longer withing group, unrealized profit will not be considered.

Particulars	%	**Galaxy Limited**
Sales	100	144,000
Cost	80	115,200
GP	**20**	**28,800**

Workings 8: Net Asset of Disposed in Comet Ltd.

Particulars	**Year End**	**Acquisition**	**Post-Acquisition**
Share Capital	1,200,000	-	1,200,000
Retained Earnings			
As provided	144,000	-	144,000
	1,344,000	**-**	**1,344,000**

Workings 9: Gain from disposal of investment in Comet

Consideration received	=2,800,000
Less: Net asset disposed	=(1,344,000)
Profit from disposal of Comet	= **1,456,000**

Answer to the Question# 1(b):

Responsibilities as auditor of consolidated financial statements:

- Primary responsibilities as auditor of consolidated financial statements is to express an opinion on the Consolidated Financial Statements.
- Understand the organization structure and identify significant components.
- Sending audit instruction to the component teams and have regular discussion
- Reviewing their workpapers to get comfort before issuing opinion.

Matters should be considered before accepting a group engagement

- Use of another auditor/component auditor.
- impact of the group structure on the risk assessment.
- Components' business activities including the industry and regulatory, economic and political environments in which those activities take place
- The use of service organisations
- A description of group-wide controls
- The complexity of the consolidation process
- Whether component auditors that are not from the group engagement partner's firm will perform work on the financial information of any of the components

- Whether the group engagement team will have unrestricted access to those charged with governance of the group, those charged with governance of the component, component management, component information and the component auditors (including relevant audit documentation sought by the group engagement team)
- Whether the group engagement team will be able to perform necessary work on the financial information of the components

Answer to the Question# 1(c):

Risks of misstatements in consolidated financial statements & Audit Procedures to address them:

- **Financial Statements of Galaxy & Comet might contain misstatements.**

  Relevant Audit procedures:
  - Communicate with component auditors before audit and understand scope of their audit.
  - Ensure components auditors are independent, have sufficient skills and expertise.
  - Send Audit instruction assigning scope and materiality.
  - Communicate the expectations and regularly monitor their progress.
  - Obtain review the summary of component auditors' audit strategy.
  - Obtain opinion from component auditor on component's financial statements.
  - Ensure component teams reports on timely manner.
  - Discuss with them if there are any issues that might affect consolidated financial statements.
  - Review component teams audit methodology and review their workpapers.
  - Conclude on the completeness and fairness of the components' financial statements.

- **Entries might not be considered in the financial statements.**

  Relevant Audit procedures:
  - Communicate with management to ensure all the transaction has been incorporated.
  - Take management representations.
  - Perform cut-off procedures to identify transaction has been reported in appropriate period.
  - Share audit risk and intendent procedures with the component teams. Ask for their compliance of the instruction.

- **Error in Consolidation adjustments.**

  Relevant Audit procedures:
  - Review the consolidation adjustment items and confirm all the items has been considered.
  - Review the consolidation workings.
  - Confirm compliance with relevant accounting framework.
  - Review the consolidation adjustments and match with consolidated financial statements.
  - Involve expert team member and Audit partner for the review work.

- **Inconstant policies applied throughout the group.**

  Relevant Audit procedures:
  - Review the accounting policies adopted within the group.
  - Confirm group accounting policies is being applied in all the components.
  - Review the goodwill recognition policy is applied consistently in every case of business combination.
  - Inquire component team members regarding compliance with group accounting policies.
  - Inquire Management regarding compliance with group accounting policies.
  - Ensure appropriate adjustment is made in case of non-compliance with group accounting policies.

- **Related party transaction might not be eliminated**

Relevant Audit procedures:

- Identify the related parties and confirm their balance.
- Ensure all the related parties and their balance has been identified.
- Identify the related party balances that need to be eliminated during consolidation.
- Identify the difference in intercompany balances.
- Obtain and review the reconciliation for intercompany balances.
- Ensure related party elimination adjustment has been made properly.
- Ensure that entities are no longer related parties are not considered for related party elimination.

Answer to the Question# 2(a):

As per IAS 2, Inventories are measured at lower of Cost and Net Realizable Value. CWL should report the inventory at lower of Cost and Net Realizable Value complying with IAS 2.

Issue 1: Valuation of inventories

Measurement of Raw Woods and chemicals:

CWL has reported raw woods of BDT 4,785,433 and Chemicals & Dyes at 2,434,962. These are measured at invoice value plus import cost. It incurs additional approximately 2% cost for clearing and transporting. As per IAS 2, these costs should also be part of cost of inventories.

Therefore, total cost of raw woods would be 4,785,433 + (4,785,433 x 25) = 4,785,433 + 95,709 = 4,881,142.

Similarly, total cost of Chemicals & Dyes would be 2,434,962 + (2,434,962 x 2%) = 2,434,962 + 48,699 = 2,483,661.

As CWL cannot sell these raw woods and dye chemicals, net realizable value can be determined by deducting cost to sale from total selling price. Furthermore, for the same reason, it would not be possible to determine realizable value by deducting cost of complete from selling price. Therefore, it is considered that Cost value of raw woods and dye chemical is equivalent to net realizable value.

Measurement of manufacture in process furniture:

In case of work-in-process furniture, no other cost component will be added with reported work-in-process of BDT 9,856,287. Reported cost need to be compared with net realizable value of these work-in-process inventories in compliance with IAS 2.

To determine the net realizable value of these work-in-process, we have to determine the selling price of these inventories and deduct cost to sale and cost to complete these inventories.

As per provided information, a finished furniture has cost structure of 45% raw woods and 35% labour cost, 13% overhead cost and 7% chemical and dye cost. It has further provided that 40% of the dye chemical will be consumed during completion of work-in-process furniture. That means these work-in-process will incur dye chemical cost of (i.e., 2,483,661 x 40%) BDT 993,464) will represent 7% of the total cost components.

If dye chemical cost of BDT 993,464 represents 7% of the cost, total cost of these work-in-process at finished stage will be (i.e., 993,464 / 7%) BDT 14,192,349. Of this total cost, BDT 9,856,287 has already incurred at work-in-process stage. That means, these work-in-process will incur further cost of BDT 4,336,062 (i.e., 14,192,349 - 9,856,287) to complete the production process.

Estimated sales price, after adding 20% markup, of these work-in-process furniture after finishing will be 14,192,349 + (14,192,349 x 20%) = BDT 17,030,819. Cost to sale will be 1% of the selling price which is equivalent to (i.e. 17,030,819 x 1%) = BDT 170,308.

Therefore, net realizable value for work-in-process furniture would be

= Selling price – Cost to complete – Cost to sale = 17,030,819 -4,336,062 -170,308= BDT 12,524,449.

As cost of work-in-process furniture is lower, it should be reported at BDT 9,856,287.

Measurement of Finished Furniture:

Finished furniture has been reported at cost of BDT 17,845,391. Sales price of these finished furniture would be 17,845,391 + (17,845,391 x 20%) = BDT 21,414,469. Cost to sale will be 1% of the selling price which is equivalent to (i.e., 21,414,469 x 1%) = BDT 214,145.

As per provided information, 35% of the reported finished furniture is out of fashion and can only be sold at 50% discount of sales price. Selling price for these out of fashion furniture will be (21,414,469 x 35% x 50%) = BDT 3,747,532.

Therefore, net realizable value for finished furniture would be

= Selling price of current fashion furniture + Selling price of out of fashion furniture – Cost to sale = (21,414,469 x 65%) + 3,747,532 -214,145= BDT 17,452,792.

As net realizable value of finished furniture is lower than the cost of BDT 17,845,391, Finished furniture should be reported at BDT 17,452,792.

Total inventory to be reported in the financial position is:

Inventory Category	Cost Amount (BDT)	Net Realizable Value (BDT)	Reportable Amount (BDT)
Raw woods	4,785,433	4,785,433	4,785,433
Chemicals & Dyes	2,434,962	2,434,962	2,434,962
Furnitures Manufacturing in Process	9,856,287	12,524,449	9,856,287
Finished furniture	17,845,391	17,452,792	17,452,792
Total	**34,922,073**	**37,197,636**	**34,529,474**

Mr. Nahid should pass the following entry:

Cost of Sales	Dr.	3,92,599	
Inventory	Cr.		3,92,599

Issue 2: Valuation and presentation of foreign currency transactions:

As per IAS 21, foreign currency denominated non-monetary items are carried at historical rate and further valuation is not required at the year end. On the other hand, foreign currency denominated monetary items are recognized at the spot rate and balance is revalued with closing rate at reporting date. Any subsequent change in the exchange rate will not be considered for revaluating monetary items balance at reporting date.

Purchase of asset with LC

Purchased machine is a non-monetary item. Hence it will be recognized at the spot rate and no furter valuation will be done on it. Whereas LC payable is a monetary item which will be revalued with closing rate at the year end.

At the time of machine purchase of exchange rate was 87/$. So cost of the machine would be USD 32,000 x 87 = BDT 2,784,000. CWL should recognize the asset with the following entry.

Machine	Dr.	2,784,000	
LC Payable	Cr.		2,784,000

When 50% of the LC Payable for USD 32,000 was made at exchange rate 94/$, CWL had to pay (32,000 x 50% x 94) = 1,504,000 to settle LC liability of (2,784,000 x 50%) = 1,392,000. CWL has experienced an exchange loss of BDT 1,12,000 and require posting following entry:

LC Payable	Dr.	1,392,000	
Exchange loss	Dr.	1,12,000	
Bank	Cr.		1,504,000

After the payment, LC Payable has balance of BDT 1,392,000 representing remaining USD 16,000 payable. At the year end, LC payable balance will be revalued at (USD 16,000 x 106) = BDT 16,96,000 and exchange loss of BDT 3,04,000 will be recognized by following journal entry.

Exchange loss	Dr.	3,04,000	
LC Payable	Cr.		3,04,000

Sales Advance from Wood Art Limited:

CWL has received an advance from Wood Art Limited for JPY 5,500,000 at BDT 0.7692/JPY. Therefore, Total advance amount received was BDT 42,30,600. CWL should recognize following entry for recognizing

Bank	Dr.	42,30,600	
Contract Liabilities	Cr.		42,30,600

By reporting date, CWL has exported furniture 70% of the contract value. Therefore, CWL should recognize revenue of (42,30,600 x 70%) = BDT 29,61,420 representing 70% of the contract value. CWL should post following entry:

Contract Liabilities	Dr.	29,61,420	
Revenue	Cr.		29,61,420

As the contract liability is non-monetary item, balance contract liability of BDT 12,69,180 will not be revalued at the year end.

Issue 3: Recognition and measurement of Building Construction in Progress:

As per IAS 23, entity is eligible to capitalize borrowing costs and directly attributable expenses for qualifying assets. As the workshop takes substantial period for construction, it can be considered as qualifying assets. Therefore, it can capitalize all the directly attributable expenses as borrowing cost.

CWL took the loan on 01 July 2021 and commenced the construction from 01 January 2022. This six-month period was required from obtaining construction permission and performing necessary administrative works. Although no construction was done during this six month, this period was required to perform necessary procedures related to construction. Hence, cost incurred during this period will be capitalized. However, due to management inefficiency 3-month was delayed. Therefore, cost incurred in this 3-month period should not be capitalized.

CWL incurred 1.5% of the loan amount or BDT 1,87,500 as loan processing fees. This is directly attributable expense and should be capitalized.

CWL invested 50% of the borrowed fund in fixed deposit at 6.5% and received interest income of (12,500,000 x 50% x 6.5% x 6/12) = BDT 2,03,125. This amount will decrease the borrowing cost.

CWL further invested 50% of the borrowed fund in stock exchange for 6 months and incurred a loss of BDT 165,000. This loss is not directly attributable expense and will not be capitalised. This loss should be reported in profit or loss statement.

Material and labour cost of BDT 8,745,923 incurred by CWL related to construction will be capitalized as this is directly attributable.

CWL has incurred but not recorded an interest expense on borrowed amount for (12,500,000 x 9%) = BDT 1,125,000. Furthermore, CWL reported interest on lease liabilities for BDT 857,428 and Depreciation on leased assets for BDT 994,172. As per IAS 21, interest on borrowed amount and interest on lease liabilities for construction period can be capitalized. Also, the depreciation on the leased asset can be capitalized as directly attributable expense during the construction period. However, these interest and deprecation should cease to capitalize for the 3-month delay due to management inefficiencies.

CWL should capitalize: (1,125,000 + 857,428 + 994,172) x 9/12 = BDT 2,232,450 and charge rest of the interest and depreciation expenses (1,125,000 + 857,428 + 994,172) x 3/12 = BDT 744,150 in profit or loss statement.

Total amount to be capitalized is

Material & Labour Cost	=	8,745,923
(+) Loan processing fee	=	1,87,500
(+) Interest & Depreciations	=	2,232,450
(-) Interest income	=	(2,03,125)
Total cost of construction in progress	**=**	**10,962,748**

Answer to the Question# 2(b):

CWL should post following adjustment entries:

Construction in progress	Dr.	2,216,825	
Finance Expenses	Dr.	281,250	
Finance Income	Dr.	203,125	
Loan Processing Fee	Cr.		187,500
Interest on lease liabilities	Cr.		643,071
Depreciation on leased assets	Cr.		745,629
Interest payable on loan	Cr.		1,125,000

Answer to the Question# 3(a):

Analysis of financial statements:

		2022	2021	% change
Short term solvency ratio				
Current Ratio	$\frac{Current\ Assets}{Current\ Liabilities}$	1.29	1.37	(6%)
Quick ratio	$\frac{Current\ Assets - Inventories}{Current\ Liabilities}$	1.13	1.10	3%
Cash ratio	$\frac{Cash\ \&\ Cash\ Equvalents}{Current\ Liabilities}$	1.84	1.78	3%
Long term solvency ratio				
Gearing Ratio	$\frac{Net\ Debt}{Equity}$	1.49	1.27	18%
Performance ratio				
Return on assets	$\frac{Net\ Profit}{Total\ Asset}$	6%	2%	146%

Efficiency Ratio		2022	2021	% change
Asset turnover	$\frac{Revenue}{Total\ Asset}$	0.97	0.85	14%
Net asset turnover	$\frac{Revenue}{Total\ Equity}$	2.41	1.92	25%

Commentary:

Solvency of the entity:

Analysis of financial position of James Limited indicates that IBL have moderately cash position. It has current ratio of near to 1.29 whereas current ratio 2 is considered to be standard. This indicates IBL has sufficient capacity of paying off the current liabilities from its current assets. However Prior year current ratio was 1.37. This indicates that liquidity position has decreased compared to last year.

Acid test/ quick ratio helps to understand how quick an entity can convert its current assets in case of immediate payment of current liabilities. Analysis of quick ratio of IBL Financial Statements shows that the current and prior year quick ratio was closed to 1 (i.e., 1.13 and 1.10 respectively). This indicates that IBL has sufficient liquid asset to pay off its current liabilities. However, as the ratio is close to 1, it indicates IBL will face liquidity crisis if any significant sudden liability arises. IBL needs to invest more on working capital.

Cash ratio indicates the ability to payoff the current liabilities with available cash only. Analysis shows that nearly half of the current liabilities can be paid off with the cash and cash equivalents.

Solvency ratio analysis shows that IBL has not strong cash position. Its current assets are barely sufficient to meet the current obligations. IBL needs to invest more working capital in order to meet sudden surge in obligation.

Long term Solvency ratios of the entity:

IBL doesn't have long term bank loan. It is financing its operation mostly from trading credit facilities. It has significant amount of current liabilities to its vendors and regulators (tax payable). Considering total liability, gearing ratio was calculated which shows IBL has gearing/ liability 1.5 times higher than its equity. That means nearly 75% capital is financed by liabilities and only 25% is financed by equity. Last year gearing was 1.27 (55:45) which indicates that gearing has increased in current year.

From this analysis, IBL is highly geared. However, most of the liabilities are non-interest-bearing liabilities. However, there is a possibility that IBL is not paying to its suppliers on time.

Performance ratios of the entity:

From the analysis of the performance ratio, it can be noticed that IBL has improved its return on assets compared to prior year. Although it is generating positive returns for the shareholders utilizing its assets, but the rate of return is very low. Last year return on total asset was 2% which increased to 6% in current year. Despite there is significant increase, there is doubt whether IBL has actually earned this return or fabricated its financial statements to show higher return on assets. In any case, IBL return on total asset is too small. Shareholders might get higher return in investing elsewhere.

Efficiency ratios of the entity:

Efficiency ratio aims to show how efficient an entity is in case of generating revenue utilizing its assets. Efficiency ratios shows that IBL was able to generate revenue lower than the total assets despite revenue growth in current year. However, it was able to generate sales almost double of the invested equity. There is visible lack of efficiency in utilization of total assets. IBL should focus on generating more revenue utilizing its assets.

Analysis of Statement of Financial Positions:

	2022	2021	Change	Change %
Revenue	1,891,295,270	1,708,575,633	182,719,637	10.7%
Cost of sales	(1,298,739,694)	(1,177,579,831)	(121,159,863)	10.3%
Gross profit	592,555,576	530,995,802	61,559,774	11.6%
Operating profit	259,233,578	203,529,693	55,703,885	27.4%
Profit for the year	112,378,698	47,147,251	65,231,447	138.4%

Commentary:

During the year 2019, IBL Limited increased its sales by BDT 182,719,637 from prior year achieving a sales growth of 10.7%. This is a decent growth rate for the IBL. However, as IBL needs to follow Percentage of Completion method due to long duration in construction, its revenue is linked with the expense incurred compared to the planned cost. If IBL over charges expenses, percentage of completion will be higher which may lead to recognition of higher amount of revenue.

In opposite spectrum of Revenue, there is Cost of Revenue which has also increased sharply by 10.3% from previous BDT 1,177,579,831. Current year cost of sales is 1,298,739,694 which has increased by 121,159,863. This increase matches the sales growth rate. This because recognition of revenue in percentage of completion method is directly linked with planned cost. Because of the revenue and cost of revenue growth, Gross profit has also increased. However, Gross profit has experienced growth rate of 11.6% and increased to 592,555,576 (increased by 61,559,774) form previous year gross profit of 530,995,802.

Operating profit has increased significantly by 27.4%. This growth has been contributed almost entirely by increase in gross profit. Its administrative cost has not increase largely but has experience significant decrease in exchange loss. Ukraine-Russia war has significantly increased exchange rate which might have contributed to decrease in loss while valuating foreign currency receivables.

Profit for the year experienced massive increase by 138.4% from prior year net profit of 47,147,251. Current year net profit increased to 112,378,698 in current year. This is mostly due to increase in operating profit and decrease in tax expenses. There is a possibility that IBL has understated income tax expenses to boost up the profitability.

Answer to the Question# 3(b):

Ethical Issues:

Ethical Issues involving my firm

This the first year our firm is auditing IBL. Firm has accepted appointment after obtaining professional clearance from prior year auditor. However, in the clearance letter, prior year auditor has informed that their fees remain pending despite several attempt to collect the fees. This clearly shows that IBL is not paying audit fees to the prior year. This indicates that IBL might not pay our fees as well once our report is issued. This will create a financial interest to the client and clear violation of independence requirement of auditing standards. Furthermore, IBL might have pressurized prior year auditor which they disagreed. Because of the disagreement, IBL might have held the payment. Because of this, firm should have discussed and identified the reason for non-payment of prior year audit fees. Without satisfactory response, my firm should have rejected the appointment for statutory auditor.

Ethical Issues involving IBL

One of the ethical issues involving IBL is lack of safety measures in its construction sites. There has been multiple case of accidental death of construction workers in IBL construction site. However, IBL has not taken proper safety measures. IBL is able to provide low-cost bids because it is avoiding expenses for safety measures.

Another ethical issue involving IBL is using low-cost material in construction. Low-cost materials may be inferior in quality and might lead to weak construction by IBL. There is a probability that structures constructed by IBL may not last long and lead to accident. In order to gain short term profit, IBL is sacrificing quality of work.

Another important ethical issue is IBL is not compliant with Tax and VAT laws. It has collected source tax and VAT from its suppliers but have not deposited to government exchequer. It might have obtained financial benefit by deposited in delay or considering them as part of own revenue.

Answer to the Question# 3(c & d):

Briefing note:

Briefing Notes for Team Members
Prepared by: Audit manger

Subject: Result of the financial statement analysis and addressing identified audit risks

We have received the financial statements of Ideal Builders Limited (IBL) for the year ended 30 June 2022 and performed analysis on those statements and available related non-financial information. Based on our analysis we have identified following risk areas:

(1) Risk of incorrect recognition of revenue:
From the industry analysis we have seen IBL has experienced revenue growth of 10.7% from previous year. This revenue is deriving from construction of projects for foreign investors investing in Bangladesh. Because of long duration of construction, IBL may follow percentage of completion method to recognize revenue instead of recognizing revenue while raising invoices. Under this method, revenue is recognized on the basis of completion of project. Completion of project is determined by setting a planned cost needed for construction and then comparing with actual cost incurred so far. If actual cost is overstated, percentage of completion will be overstated and lead to overstatement of revenue. This shows a risk of misstatement of revenue by reporting incorrect percentage of completion.

Procedures to be followed:

- Understand revenue arrangements.
- Review the sales process and identify the risk of misstatements.
- Review the process of calculating percentage of completion.
- Identify the controls available in the sales process and check for their operation and design effectiveness.
- Perform substantive analysis and find the correlation between the Contract Asset, Contract Lability, Revenue and Trade Receivables.
- Send confirmation to outstanding receivables.
- Check calculation for Contract Assets & Contract Liabilities.
- Check past and subsequent collections from the customers.
- Increase sample size when required.
- Involve expert team members where necessary.
- Involve partner for direction when required.

(2) Cost of revenue:
In percentage of completion method, increase of actual cost will increase the percentage of completion and eventually increases the revenue. Therefore, there is significant risk that actual cost may be misstated to manipulate the actual cost incurred so far. There are risk that general and admin expenses have been included in the cost of sales. Furthermore, there is risk that cost of revenue may include abnormal loss.

Procedures to be followed:

- Identify the process for determining planned cost and revision to planned cost.
- Check the cost components in planned cost
- Check the occurrence of costs/expenses and verify source documents to determine their authenticity.
- Confirm that all the cost incurred in the cost sales are related to project cost.
- Confirm that accrued expenses and provisions has been recorded proper periods and supported by basis for estimations.
- Identify the control involving cost recognition to payment process and test significant controls.
- Increase sample size when required.
- Involve expert team members where necessary.
- Involve partner for direction when required.

(3) Probable litigation and provision for compensation for accidental deaths:

There has been multiple case of accidental deaths in IBL construction site due to poor safety measures. This might lead to litigation against IBL. IBL may have to face significant amount of financial penalty due to litigation. Other than litigation, IBL may also voluntarily pay compensation to the affected families. Provision for these compensations may not be recorded properly.

Procedures to be followed:

- Understand the current position for litigation against IBL for accidental deaths.
- Inquire management regarding their response in relation to accidental deaths.
- Review Board meeting and AGM meeting minutes.
- Check if management has created provision and review the basis for provision if created.
- Review compliance with IAS 37 for recognition, measurement and presentation of the provision.
- Communicate with manage and inquire the current health and safety measures available.
- Identify the management plan to increase workplace safety measures.

(4) Non-compliance with Tax & VAT laws and recognition of financial penalty:

IBL has reportedly ignored payment of supplier source tax and VAT. This might have lead increase in revenue. Non-payment of government revenue has drawn financial penalty. Non-compliance of the laws may lead to further penalty and create threat to going concern as foreign investors might not work with non-compliance suppliers.

Procedures to be followed:

- Communicate and inquire management regarding their compliance status.
- Inquire management whether they have any pending litigations for past non-compliance.
- Inquire if there is uncertain tax position arising from non-compliance of Tax & VAT laws.
- Obtain regulatory returns submitted and match them with the balances reported in the financial statements.
- Perform substantive tests to identify probable amount of for unpaid VAT & Tax and penalty that might be imposed as per law.
- Confirm whether these liabilities has been reported in the financial statements properly.

We need to keep these issues in mind while preparing our audit plan and performing the above-mentioned procedures.

Answer to the Question# 4(a):

VAT Audit of Crystal Limited

According to IAS 10 para 14, a provision shall be recognised when:

(a) an entity has a present obligation (legal or constructive) as a result of a past event;
(b) it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation; and
(c) a reliable estimate can be made of the amount of the obligation.

If these conditions are not met, no provision shall be recognised.

Management has conducted an internal assessment which established errors in the application of VDS. Under that VAT Act the VAT authority has the right to hold the entity liable for a failure to correctly apply VDS rules.

Management has therefore concluded that a present obligation exists as a result of past events. The fact that an audit has been initiated indicates a probable outflow of economic benefits, and management has been able to arrive at a reliable estimate of the obligation. Therefore, the recognition of the BDT 11m meets the recognition criteria of a provision under IAS 10.

In accordance with IAS 10 para 3, events after the reporting period are those events, favourable and unfavourable, that occur between the end of the reporting period and the date when the financial statements are authorised for issue. Two types of events can be identified:

(a) those that provide evidence of conditions that existed at the end of the reporting period (adjusting events after the reporting period); and
(b) those that are indicative of conditions that arose after the reporting period (non-adjusting events after the reporting period).

In accordance with IAS 10 para 8, an entity shall adjust the amounts recognised in its financial statements to reflect adjusting events after the reporting period.

In accordance with IAS 10 para 10, an entity shall not adjust the amounts recognised in its financial statements to reflect non-adjusting events after the reporting period.

On 30th September 2021 the company received a show cause notice under section 55(1) of the VAT Act 2012 requesting Crystal to explain why BDT 6.5 million of VAT had not been paid, resulting in a potential claim (including interest) of BDT 8.75 million. On 18th September 2021 Crystal had deposited BDT 8.75 million with the Govt. Treasury.

As a result, the show cause notice and the settlement are indicative of the existence of an adjusting event after the reporting period that occur between the end of the reporting period and the date when the financial statements are authorised for issue.

As a result, Crystal should now reverse the excess provision of BDT 2.25m effective on 30th June 2021. As the financial statements were approved by the Board on 6th December 2021, the notice under section 55(3) received on 10th December 2021 will have no impact on the 30th June 2021 financial statements.

No further action or disclosure is required in the 30th June 2022 financial statements.

Answer to the Question# 4(b):

Holding tax of Crystal Limited - Dhaka North City Corporation (DNCC)

As at 30th June 2021, DNCC had raised the issue of a holding value by requesting documents in order to assess the holding value, therefore as at balance sheet date a contingent liability exists (possible obligation that arises from past events and whose existence will be confirmed only by the occurrence or non- occurrence of one or more uncertain future events not wholly within the control of the entity).

A provision cannot be recognized because:

(i) it is not probable that an outflow of resources embodying economic benefits will be required to settle the obligation; or
(ii) the amount of the obligation cannot be measured with sufficient reliability.

However, by 31st October 2021 Crystal received a demand for BDT 5m relating to the period April to June 2018 and by 15th November 2021 legal advice on the issue confirmed that the demand from DNCC is legally valid.

According to IAS 10 para 14, a provision shall be recognised when:

(a) an entity has a present obligation (legal or constructive) as a result of a past event;
(b) it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation; and
(c) a reliable estimate can be made of the amount of the obligation.

As the date the 30th June 2021 financial statements were approved by the Board on 6th December 2021, the recognition criteria for a provision had been met and Crystal should book a provision of BDT 5m per quarter from April 2018 to 30th June 2021 amounting to BDT 65m.

Upon recognition of the required provision, no further disclosure is required as at 30th June 2021. In addition, this is not an Error or Omission as per IAS 8 as Crystal was only made aware of a potential obligation on 29th June 2021 when DNCC requested documentation. Therefore the question of a restatement does not arise.

As at 30th June 2022 Crystal should have taken a further BDT 20m provision and as there was no further communication from DNCC, no further disclosure is required as at 30th June 2022.

Answer to the Question# 4(c):

Property revaluation of Crystal Limited and Ash Limited

As at 30th June 2021 and 30th June 2022 the accounting policy of the Company/ Group allowed for revaluation.

Crystal appointed Asian Surveyors on 21st August 2021 received the valuation report dated 7th September 2021 indicating a revaluation gain of BDT 1.5 billion. The last time the land had been revalued was in 2011 (10 years ago), so it may be argued that as at 30th June 2021 substantially of the gain had already accrued and since the financial statements had not yet been approved by the Board, the revaluation gain could still be recognized in the financial Statements as at 30th June 2021.

Ash appointed Asian Surveyors on 9th October 2022 received the valuation report dated 12th October 2022 indicated a revaluation gain of BDT 300 million. The last time the land had been revalued was in 2010 (12 years ago), so it may be argued that as at 30th June 2022 substantially of the gain had already accrued and since the financial statements had not yet been approved by the Board, the revaluation gain could still be recognized in the financial Statements as at 30th June 2022.

Answer to the Question# 5(i):

Cyber security audit is a formal process of carrying out cyber security assessment. It is an assessment carried out by a certified third party, an independent organisation or consultant. Cyber security audits usually involve an external assessment to ascertain the level of cyber risks an organisation is exposed to.
The audit process covers processes such as digital assets management, cyber security awareness training, data security, resources planning, information and communication.

What it is intended to achieve

- When done properly a cyber security audit can help the organisation understand what risks to information system and software exist in the situation.

- It can help prioritise these risks, align the information protection to that of the central authority such as the Data commission, Communication Authority or even the central bank and to external security frameworks

- Once the audit and assessment is completed, the reviewer will provide a detailed report articulating gaps or vulnerabilities in the organisation's security profile.

- The tangible outcome of cyber security audit is clear cut road map which is expected not only to improve cyber security readiness, but also ensure long term compliance and robust system of risk management.

Answer to the Question# 5(ii):

A firm's anti money laundering programme should include:

- Appointment of a money laundering officer (MLRO) and implementation of internal reporting procedures.

- Train individuals to ensure they are aware of the relevant legislation, know how to recognize and deal with potential money laundering, how to report suspicions to the MLRO.

- Establish internal procedures appropraiate to forestall and prevent money laundering, and make relevant individuals aware of the procedures.

- Verify the identity of new and existing clients and maintain evidence of identification that is customer due diligence measures.

- Maintain records of client identification and any transactions undertaken for or with the client.

- Report suspicions of money laundering to the BFIU.

---The End---